

**Generative Artificial Intelligence and the Bifurcating Regulatory Landscape: A
Qualitative, Scenario-Driven Forecast of Global AI Governance, 2026–2032**

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Track Justification Statement

The Qualitative (Scenario-Driven) Forecasting Track approach is used to explore the regulatory future of Generative Artificial Intelligence (AI) to 2032. This is an appropriate path as the forward trajectory of how AI will be governed is a mixture of politics and institutions, not a time series. Regulatory outcomes are not directly measurable, like the capability of models or adoption (Stanford HAI, 2026), and instead depend on negotiation in legislature, discretion of the executive, judicial scrutiny, and changing political coalitions. There are also no reliable longitudinal data on the stringency of regulation available in a format appropriate for time-series or regression analysis - with full AI law having been only introduced 2 years ago in the most advanced jurisdiction, the EU. Horizon scanning and scenario planning, which are appropriate for institutional and normative uncertainty, are therefore adopted in this paper given the lack of data and the subjectivity and judgmental nature of the forecasting question. The methods utilize various documentation including primary legal sources, guidance on regulations and legal analysis by experts to give plausible, evidence-based futures rather than one single prediction. This analysis is qualitative and will enable testing of strategies for various scenarios, not just a single forecast with false precision as is often done.

Introduction and Technology Overview

Generative AI is the umbrella term for a family of technologies from the broader machine learning category that generate new text, code, images, audio or video from input, rather than simply categorize or extract existing content. Since the large-scale release of conversational models in late 2022, the proliferation of generative AI has spread more widely through the

economy and society than the personal computer and internet, with more than half the population using them by 3 years and over 80% of organizations by 2025, according to Stanford's Institute for Human-Centered Artificial Intelligence (Stanford HAI, 2026). This rapid diffusion has led to governance frameworks falling behind in establishing lasting norms with respect to the tech, and created a widening disconnect between capability and governance (Stanford HAI, 2026).

The implications of generative AI for issues of fundamental policy concerns like consumer protection, IP rights, labor markets, misinformation, national security and algorithmic discrimination are clear. The EU has emerged as the primary force behind this international regulatory response, where the EU Artificial Intelligence Act is a truly extensive regulation, and the US executive branch is increasingly adopting a more and more deregulatory approach (European Commission, 2024; Greenberg Traurig, LLP, 2025). The following outlook is about the analysis of likely future evolution of the regulatory landscape of these two trends, and the larger international system that they help to create, in the next decade (2012-2032) and about the scenarios that are likely and that policy makers should anticipate.

The Forecasting Focus and Analytical Framework.

The analysis will address the following guiding question: What will regulatory governance of generative AI be like from 2026-2032 in the two most influential AI jurisdictions around the world and what are the alternative regulatory futures? This question is designed to focus on institutional and political factors like legislative activity, executive orders, and litigation, instead of technical performance measurements, which are already collected quantitatively elsewhere.

To tackle this question the paper uses two complementary qualitative forecasting techniques: horizon scanning and scenario planning. The first stage of the horizon scanning

exercise is to identify weak and strong signals of regulatory change arising from recent events in legal and institutional frameworks, such as the European Union's (EU) Digital Omnibus amendment, the United States' (U.S.) executive order on a National AI policy framework, and the emergence of voluntary technical standards such as the NIST Generative AI Profile (NIST, 2024; Software Improvement Group, 2026). The signals are then compiled in a structured manner in what is called 'scenario planning', from which several internally consistent and plausible futures emerge in the presence of deep uncertainty (Mfondoum et al., 2026). Rather than making one most likely forecast, scenario planning produces a range of futures within a bound that reflects the diversity of potential futures within the domain of the policy at issue, and where political, judicial and international politics will play a decisive role rather than forecasts based on extrapolation of trends.

Find evidence/sources.

The forecast is based on primary legal and regulatory documents and secondary analysis from policy research organizations and legal practice groups. Examples of primary sources are the U.S. National Institute of Standards and Technology's voluntary Generative AI Profile (NIST, 2024), the U.S. executive order on a national AI policy framework (NIST, 2024), the EU Digital Omnibus amendment (expected to be adopted in 2026), and the EU Artificial Intelligence Act (European Commission, 2024). These are supplemented by secondary legal data from law firms and other groups closely tracking regulatory events in real time, such as Kennedds Law (2026), the Software Improvement Group (2026), and Greenberg Traurig, LLP (2025) as well as empirical fact data from the Stanford AI Index (Stanford HAI, 2026). The paper also features foresight methodology scholarship like Mfondoum et al (2026) which combine strategic

foresight and adaptive governance and the research organization Convergence Analysis (2024) which is based on scenario planning using AI.

This evidence-based has some restrictions. The power of the regulatory texts is static, but may be altered at any moment, as was done for the European Union itself in 2026, with its compliance deadlines amended (Kennedys Law 2026). Even though legal practice commentary is up-to-date, it is created by firms that advise regulated clients and therefore can implicitly focus on compliance cost. At the present time there is no complete and validated quantitative time-series measure of regulatory stringency, and there is a recommended measure of regulatory stringency that is qualitative.

Key Drivers, Trends, and Uncertainties

Four drivers are shaping the future direction of driving generative AI governance. The first is a political one. Deregulation has become more aggressive in the U.S. Executive branch. In December of 2025, President Trump signed Executive Order 14365, Ensuring a National Policy Framework for Artificial Intelligence, which tasked the Department of Justice (the DOJ) with forming a litigation task force to defend state laws governing the use of AI, and, as stated in the Executive Order, with requiring compliance with federal conditions for receiving any federal funding in order to be eligible for use of AI in receiving such funding (Greenberg Traurig, LLP, 2025). It was the last of a series of efforts by Congress to approve a 10-year moratorium on state data privacy enforcement, which was approved 99 to 1 by the Senate, despite the general thrust of the data privacy landscape to deregulate. It follows another previous congressional attempt to pass 10 years of federal preemption of state data privacy enforcement, which was rejected 99-1 by the Senate. However, even within the EU, where the AI Act is the most in-depth statutory framework on AI, the planned dates for compliance have been pushed back from August 2026 to

December 2027 and August 2028 and have been deferred in the 2026 Digital Omnibus amendment, as a result of regulatory pressure due to industry and competitiveness concerns (Kennedys Law, 2026; Software Improvement Group, 2026).

The second factor is the economic factor. The political cost of stringent regulation is increasing, with some nations seeking to ease regulations on AI tools, while the need to harmonize or reduce the restrictions on AI is gaining momentum, partly because of the sharp rise in global corporate investment in the technology, which grew by over 200% in 2025 to nearly \$582 billion. (Stanford HAI, 2026). The third driver is technological – the benchmark performance has continued to steadily improve over the past year, and even with some coding benchmarks, the number of people who achieved a high score rose from about 60% to almost 100% in one year, while the top performers in the field are still struggling with comparatively simple tasks, making it more complex to find a common denominator for how capable the population is to be classified into risk categories for regulators (Stanford HAI, 2026). Social and normative is fourth driver. Civil society advocacy for transparency, especially in the context of labeling of AI-generated content, is continuing to influence regulatory decisions regarding which provisions of the AI Act – such as the requirements regarding transparency under Article 50 – are likely to remain as they are scheduled to come into effect in August 2026, despite some high-risk provisions being postponed (Software Improvement Group, 2026).

The major unknowns in the middle are whether state laws brought before US federal courts under the new "preemption" approach will be recognized and enforced; whether the EU's deregulatory momentum will accelerate or slow down as soon as the first formal effectiveness review of the Act will be conducted; and whether a new international standards body will be formed to harmonize the different laws or whether they'll grow more fragmented.

Scenario Construction

The above horizon-scanning synthesis is followed by the development of two possible and well supported scenarios for the 2026-2032 horizon. The two scenarios have similar technological development trends, namely, near universal adoption of the organizations and continually growing capabilities (Stanford HAI, 2026); they differ, however, in terms of the institutional/political dimension which is the main locus of uncertainty identified in the paper.

With scenario One – Converging Guardrails – the prospect of high-profile harms to AI may be sufficient to generate the political momentum in the United States and the EU to slow the pace of deregulation. The Digital Omnibus is to be regarded as a single shot deregulation with the provisions of the high risk provisions to take effect on their respective re-scheduled dates (2027 and 2028). The federal courts in the United States will not limit the scope of preemption claims in Executive Order 14365, meaning that the key state consumer protection laws remain applicable; Congress can't create a broad bill, but it does include parts of the voluntary NIST Generative AI Profile into federal procurement mandates, effectively creating de facto national standards (NIST, 2024). The momentum for the transatlantic goal of the US and EU procurement standards and conformity assessments to be mutually recognized is growing and the goal is not to eliminate the regulatory gap but to close it.

In Fragmented Sovereignty, what is seen as a trend of deregulation within each jurisdiction continues to gain momentum, rather than level off. The Department of Justice's AI Litigation Task Force gets its jobs done and blocks a handful of states from passing laws; a Congress that can't agree on a federal replacement leaves a governance void with the big AI developers having little binding rules except for the very limited federal procurement rules (Greenberg Traurig, LLP, 2025). As other big jurisdictions do, the EU has its own way of doing

things, with some aspects of its plan at best diverging from the Digital Omnibus logic and at worst contradicting it, and is pushing back or limiting others until 2027 and 2028, when it has to deliver on the promises it has made in its own public documents. This results in a 'patchwork' world in which multinationals face the problem of multiple versions of the rules (and costs), small developers are forced to deal with the rules while the multinationals can bear the costs, and no single jurisdiction has any global influence on frontier model development.

Regulatory/Policy Scenarios

For each scenario, certain regulatory measures are listed that are anticipated and desirable for policy makers. The most promising ways to achieve interoperability under Converging Guardrails will be the use of interoperability mechanisms like mutual recognition agreements, shared conformity assessment bodies, and mapping the four risk management functions of NIST's AI Risk Management Framework to the tiered obligations in the AI Act (NIST, 2024). The AI Act requires all member states to establish a regulatory sandboxes; a similar approach could be implemented in the United States, with a multi-agency coordinated state-level regulatory sandbox. A federal preemption objective with ongoing experimentation at the state level would be realised with a template for a regulatory sandbox already mandated in the AI Act for all member states, but in the United States, jointly managed by federal agencies and willing states.

As the main policy response to Fragmented Sovereignty is likely to be defensive and compliance-oriented, harmonization is unlikely to occur. Multinational companies would implement highest common denominator compliance programs, meaning those that would initially adopt the most stringent of the most applicable jurisdiction that's currently in place, where possible—this is already being seen among companies that were taking steps to achieve

early compliance with the AI Act as a result of the staggered deadlines. Without binding federal rules in the U.S., litigation would be a focal point for holding accountable, and legalized activity about harm caused by chatbots and algorithmic discrimination would occupy part of the void in U.S. governance that is being filled by preemption (Greenberg Traurig, LLP, 2025). International coordination bodies would tend to be more interested in the exchange of technical cooperation than in full harmonisation of the rules, e.g. in the reporting of incidents.

Implications for Policymakers

Strategic and governance implications are both applicable to both scenarios. In the first place, policies should have as liberal a time limit as possible. Even the most advanced and complete compliance and oversight frameworks, such as those of the European Union, come under economic pressure and have been deferred in the middle of the course; firms and regulators should create compliance and oversight systems that can take the economic shock of schedule slippage without losing sight of the risk management goals (Kennedys Law, 2026).

Second, the disclosure requirements that have not been pushed by deregulation in either jurisdiction—such as the labeling of AI-generated content—suggest that disclosure-based measures might have a more enduring effect and be more politically acceptable than substantive design requirements, as they are not as burdensome on compliance, and are effective at addressing the concerns of the public at large, which also encompasses the issues of deepfakes and misinformation. (Software Improvement Group, 2026)

Third, state and local policymakers should be mindful that future challenges to the laws, perhaps through novel doctrines under the AI statute, will not succeed and should instead be grounded in constitutional doctrines and principles already established by the U.S. Constitution, such as consumer protection and civil rights law (Greenberg Traurig, LLP, 2025). Finally, there

are lower cost coordination mechanisms that are also possible in both scenarios: technical interoperability infrastructure (shared taxonomies, documentation standards for models, protocols for reporting incidents, etc.) will help reduce the impact of high uncertainty regarding what will occur when the future finally arrives.

Limitations and Reflexivity

There are several caveats with this forecast. Second, the regulatory situation is unusual, and some of the main sources cited in this paper were published or updated within weeks of the date of completion of this paper, so that the premises may have to be updated on a similar time scale. Secondly, the scenario set should be a simplified version. In reality, convergence on technical safety standards does not necessarily go hand in hand with fragmentation of liability and labour market rules in the same policy domain, and fragmentation does not necessarily go hand in hand with convergence on technical safety standards.

Thirdly, this paper is subject to the limitation of being based primarily on the legal and policy commentary in English in the United States and the European Union. Regulators from the Chinese, Indian and Global south have a very strong influence on the final outcome of the global regulation, but their perspectives are under-represented and need follow up analysis. Fourth, scenario planning is a qualitative, judgmental process and therefore can be influenced by the analyst's own frame and biases with regard to the drivers that are incorporated into the scenario set – for instance, a different analyst who emphasizes transatlantic relationships rather than transatlantic geopolitical competition might be able to construct an alternative scenario set. It is important for readers to see the two scenarios here as a framework for discussion and not a definitive split of the future.

Conclusion

Generative AI has diffused to other parts of the world economy faster than any other sweeping purpose technology, and the organizations charged with developing and governing it are only just coming into being, and are contesting. (Stanford HAI, 2026). Through horizon scanning and scenario planning, this paper outlined a regulatory landscape for generative AI over the next decade, with two scenarios created: Converging Guardrails - where the trajectory of the United States and the European Union towards deregulation and preemption even out or decelerate; and Fragmented Sovereignty - where these trends persist. These are two scenarios that will be determined by short-term political and judicial choices, rather than the direction of technology, which is still on the ascent in both scenarios. Whether these choices involve state law and regulations pre-empting local judicial decisions, or whether the EU's Digital Omnibus will turn out to be the first step towards a stable and consistent environment allowing for cross-jurisdictional collaborations, and whether these collaborations will be based on interoperable technical standards that can be developed in time will determine this. The lesson for policy makers from this qualitative forecast is not that one scenario is more likely than the other, but that policies and governance mechanisms should be resilient across both scenarios, and those that are low cost and will be maintained over the longer term will be more likely to be present in the future – for example, disclosure requirements and standards for technical interoperability.

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AI Disclosure: I used ChatGPT (OpenAI) to support brainstorming, organize reflective analysis and identify relevant peer-reviewed scholarly sources. I selected research that aligned with those real-world observations. I have reviewed, paraphrased, and verified the final content and citations before submission.